

CASE ID: 200704710816

EPISODE NAME: China Blocks Vietnam–BP Energy Exploration

2007/04/10 - 2007/06/13

Sender: China (710)

Target: Vietnam (816)

Issue: Solve Territorial Dispute (5)

Final Outcome: Complete Acquiescence by Target to threat (2)

Narrative:

In 2007/04, Vietnam announced both local elections on the disputed Spratly Islands, repeating a move made in 2002, and launched a joint oil venture with British Petroleum (BP).¹ The announcement drew a swift response from Beijing. On 2007/04/10, China threatened retaliation when Foreign Ministry spokesman Qin Gang said that “China has indisputable sovereignty over Nansha [Spratly] Islands” and “has made solemn representations to Vietnam.”²

The Hai Thach and Moc Tinh gas fields that BP planned to develop are located in disputed areas of the South China Sea.³ After China’s warning, diplomatic cables later released by WikiLeaks revealed that the U.S. State Department was aware of Chinese threats of economic sanctions against Vietnam should it proceed with the BP deal.⁴

Facing growing geopolitical pressure, BP officially terminated its exploration activities in the disputed waters on 2007/06/13.⁵ According to later reporting, the cancellation resulted in an estimated \$2 billion loss to the Vietnamese government due to contract termination fees.⁶

¹ Tom Bergin and Aizhu Chen. “UPDATE 2-BP halts Vietnam exploration plan due China dispute.” Reuters. June 13, 2007.

<https://www.reuters.com/article/bp-vietnam-chinadispute/update-2-bp-halts-vietnam-exploration-plan-due-china-dispute-idUSL1389504420070613>.

² “Foreign Ministry Spokesman Qin Gang’s Regular Press Conference on 10 April 2007.” *The Consulate General of the People’s Republic of China in Los Angeles*, 11 Apr. 2007, losangeles.china-consulate.gov.cn/eng/conference/200704/t20070411_4981896.htm. Accessed 28 Jan. 2026.

³ “China Warns Exxon Off Territory Disputed With Vietnam.” *Energy Intelligence*, 20 July 2008. <https://www.energyintel.com/0000017b-a7b3-de4c-a17b-e7f3f5f00001>

⁴ Torode, Greg. “Beijing pressure intense in South China Sea row.” *SCMP. September 23, 2011* <https://www.scmp.com/article/979876/beijing-pressure-intense-south-china-sea-row>.

⁵ Tom Bergin and Aizhu Chen. “UPDATE 2-BP halts Vietnam exploration plan due China dispute.” Reuters. June 13, 2007.

⁶ Bill Hayton. “China’s Pressure Costs Vietnam \$1 Billion in the South China Sea.” *The Diplomat*. July 22, 2020. <https://thediplomat.com/2020/07/chinas-pressure-costs-vietnam-1-billion-in-the-south-china-sea>.